CBP prepenalty materials and attachment index

Two respondents. Notices are proposed administrative allegations rather than final CBP findings. Correspondence and notices in this training exercise are simulated.

Notice of intent to issue a claim for a monetary penalty

UNITED STATES CUSTOMS AND BORDER PROTECTION | FP&F Port Office - Laredo | Certified notice dated 21 October 2026 | Respondent: Meridian Industrial Controls Inc.

Authority: 19 U.S.C. 1592(a)(1)(A) and (b)(1). Customs has reasonable cause to believe that certain entries and introductions of IR24-6A industrial relays were accomplished by materially inaccurate origin and entered-value information. The entries were made through Laredo and El Paso during the period March 2023-November 2024. The importer and customs broker provided entry data and commercial documentation that are available for inspection.

Customs tentatively alleges gross negligence. The reviewed records indicate continuing use of USMCA certificates notwithstanding changes in non-originating PCB assemblies, and invoice-based transaction values that did not include certain production assistance and engineering expenditures financed through a related purchasing entity. The agency has identified warnings, internal control observations and subsequent entries relevant to the degree of culpability. It has not finally determined fraud.

CBP's present working estimate of total loss of lawful duties and fees attributable to the alleged duty-loss violations is USD 77,400.85 (USD 67,980.70 associated in the agency worksheet with claimed preference and USD 9,420.15 associated with asserted valuation deficiencies). These preliminary amounts are not an entry-by-entry adjudication and may require reconciliation to the origin correction and sampling records; no claim is made that every valuation error affected duty assessment.

Taking the alleged culpability and preliminary loss into account, the proposed monetary claim is USD 289,000, subject to the statutory limits and further representations. CBP has considered the written corrective submissions and known tenders but has not accepted that all contested entries qualify for prior-disclosure or USMCA correction benefits. The company may present evidence concerning the legal significance and scope of the corrective statements, accurate appraisement, its reasonable-care measures and any procedural or monetary objections.

You may submit oral or written representations regarding the allegation and proposed amount by November 20, 2026, through the contact identified below. This is a prepenalty notice, not a final penalty claim. The agency will consider representations before deciding whether to issue a penalty claim under § 1592(b)(2).

Additional alleged conduct - separate notice

UNITED STATES CUSTOMS AND BORDER PROTECTION | FP&F Laredo | Dated 21 October 2026 | Respondent: Meridian Sourcing Services LLC

CBP is evaluating whether MSS independently introduced or aided the introduction of merchandise through inaccurate commercial documents and data delivered to Orchard Entry Services. The conduct under review includes purchasing-side approval of production assets, transmission of a supplier master with an entry-value field omitting certain buyer-furnished amounts and continued handling of origin certifications following manufacturing changes.

The proposed penalty claim against MSS is USD 91,000, based on a subset of alleged entries and without a final determination that MSS was an importer of record. CBP identifies 19 U.S.C. 1592(a)(1)(A) and, in the alternative as applicable, § 1592(a)(1)(B). The agency will evaluate MSS's specific acts and culpability; corporate affiliation by itself is not alleged to be the sole basis of liability. MSS may respond by November 20, 2026.

Attachment index and disclosure position

Attachment to MIC notice | 21 October 2026 | Record references 24-ORI-1492 and 24-VAL-1551

Attachment 1: Origin enquiry initiation index dated September 19, 2024 (copy reproduced in agency correspondence records). Attachment 2: HSI Special Agent request dated September 26, 2024 to MSS. These documents are included because MIC contends that its October-origin correction communications deserve statutory protection, while CBP asserts that the earlier investigation and knowledge of its scope require examination.

Attachment 3: Later value-related enquiry index dated October 14, 2024. CBP contests aspects of the claimed October 12 production-support submission on scope and sufficiency grounds. The agency does not treat its separate October 17 receipt of that certified mailing as dispositive of its effective date under the governing regulation.

Attachment 4: preliminary audit projections and the corresponding company figures; attachment 5: recorded correction deposits and written tender notices.

All supporting case-index extracts and respondent communications are in the administrative production supplied October 28, 2026. The agency welcomes transaction-specific submissions, including disputed assumptions and evidence of eligibility for statutory reductions or exclusions.

Attachment 4A - entry population referenced in notice

Prepared by: FP&F support staff | 21 October 2026 | Extract from preliminary allegation spreadsheet

Origin-related working set is keyed to commercial release codes m23-b, m24-b, m24-d and m24-e and the annual certificates referenced on the filed entries. Some documents have been amended or disputed. The set identifies transactions under examination; the preparer has not reconciled physical serial-transfer exceptions or distinguished each entry by the legal consequences of its preference code.

Commercial release / supplier file	Entry extract rows identified in preliminary schedule
m23-b	E04; E05; E06; E07
m24-b	E21; E22; E23; E24; E25; E26
m24-d	E31; E32; E33; E34
m24-e	E35; E36; E37

For entered value, the working set is all 37 IR24-6A entries identified in the importer account, subject to confirming when each production-cost element was used and the legal nature of each payment. The agency has relied on the entry-system export, supplier-release files and sampling workpapers. An exact entry-by-entry duty schedule has not yet been provided.

Acknowledgment of request for deadline preservation

From: FP&F case office | To: counsel for MIC and MSS | 30 October 2026

The November 20 submission deadline remains in place. A teleconference may be arranged if counsel requires clarification of identified entry populations or requests copies of additional source records. No extension has been requested or granted as of this acknowledgement.

FP&F administrative supplemental index entry

Retained extracts supplied with the 28 October 2026 administrative production. These reproduce contemporaneous files, not later findings or legal determinations.

Supplemental response file note — MSS

FP&F Laredo | 28 October 2026 | Administrative attachment-control entry for the 21 October MSS notice

MSS counsel has identified an oral report described as having occurred on 25 September 2024 and a written MSS confirmation delivered on 1 October 2024. CBP has included the contemporaneous port intake, HSI callback and written follow-up in the administrative production. No administrative determination on the treatment of the MSS September communications was enclosed with these materials.

The prepenalty allegations against MSS remain pending. The company may address its correspondence and other records in its response to the notice. No separate written actual-loss calculation addressed to MSS appears in the current production.